FCRA

THE FOREIGN FUNDS SQUEEZE

By Kaushik Deka



On January 1, when the Union home ministry revoked the FCRA (Foreign Contribution Regulation Act) registrations—mandatory for organisations to receive and use foreign funding—of 5,968 firms, many were outraged. Critics said the move was aimed at crippling NGOs (non-government organisations) that have either been critical of the BJP-led central government or are run by minorities. Some of the organisations that lost their registrations include the Missionaries of Charity, set up by Nobel laureate Mother Teresa, the Medical Council of India, the India Islamic Centre, the Oxfam India Trust and Common Cause, which have filed several PILs against central legislation in recent times.

However, independent observers, including many who lost their FCRA registrations, say this is a consequence of amendments to the FCRA in 2020, which made the process of getting an FCRA registration cumbersome, opaque and dependent on the government's discretion, rather than malafide intent. "The new rules are making it very difficult for NGOs to operate," says Noel Harper of the Share and Care Foundation in Andhra Pradesh, which has challenged the constitutional validity of the FCRA 2020 in the Supreme Court. "The new laws are punishing even those who are doing good work." Of the 5,968 organisations removed from the FCRA list, 5,789 did not apply for renewal by the deadline—December 31. (FCRA registrations are valid for five years and must be renewed after that.) In fact, between September 29, 2020, and December 31, 2021, 18,778 organisations were eligible for licence renewal—of these, only 12,989 submitted requests for renewals. Some of the institutes that did not apply include two Indian Institutes of Technology (Delhi and Kanpur), the Nehru Memorial Museum and Library and the Indira Gandhi National Centre for the Arts.

16,908 organisations in India are authorised to receive foreign funds under the FCRA, down from **22,797** last year

Between 2011 and 2021, the registration certificates of **20,586** organisations were cancelled for violations of the Foreign Contribution Regulation Act (FCRA), 2010; 89 were cancelled on request

Of these, **80 per cent** were cancelled under the NDA government between 2014 and 2021

However, critics highlight that some registrations—including those of the Missionaries of Charity and the Oxfam India Trust—were cancelled, and did not lapse. On December 25, 2021, the Union home ministry refused to renew the registration of the Missionaries of Charity, citing "adverse inputs". A fresh application for registration can be made only after three years. On December 12, the Vadodara city police, based on a complaint from a district social welfare officer, had filed a case against the Kolkata-based NGO under the Gujarat Freedom of Religion Act for "hurting Hindu religious sentiments" and "luring young girls toward Christianity" in a shelter home run by the organisation in Vadodara. In August, Priyank Kanoongo, chairman of the National Commission for Protection of Child Rights (NCPCR), claimed to have found evidence of conversions during a visit to the home in Vadodara. In February 2020, the NCPCR had also approached the Supreme Court asking for an investigation of the Missionaries of Charity for alleged involvement in child trafficking in its shelter homes in Jharkhand. However, allegations do not amount to violations of the law, and in this case, the law states that an FCRA registration can be denied only to those who have been prosecuted for or convicted of forced conversions.